

# The B2C funnel

Week 1, Lecture 1 · B2C to \$10k MRR

Autumn 2026 · A 10-Week Growth Manual for Technical Founders

## What we'll cover

- What the AAARRR funnel is and where it came from
- How B2C funnels leak differently than B2B
- Top-of-funnel: why traffic and uniques mislead
- Bottom-of-funnel: the only conversion that counts
- Defining your activation event
- This week's mission: make your funnel honest

# The AAARRR framework

# Five stages, one funnel

The AAARRR framework was created by Dave McClure in 2007. It names five distinct conversion steps:

- **Acquisition:** a stranger hears about your product
- **Activation:** that stranger has a genuinely good first experience
- **Retention:** they come back
- **Revenue:** they pay you
- **Referral:** they bring others

Each stage is a rate, not a count. The funnel leaks at every stage.

(Vandervell, 2023: [posthog.com/product-engineers/aarr-pirate-funnel](https://posthog.com/product-engineers/aarr-pirate-funnel))

## Why B2C leaks differently

In B2B, a champion inside a company pushes past friction.

In B2C, the user and the buyer are the same person, and they have no manager telling them to continue:

- No IT deployment forcing adoption
- No multi-year contract holding them in
- Decision to churn takes one tap

**Activation and retention are the highest-leverage stages for B2C.** Fixing acquisition before fixing these is pouring water into a leaky bucket.

(Vandervell, 2023; Alstromer, 2019)

Top-of-funnel: what the numbers lie about

# Traffic vs visits vs uniques

Three numbers that sound like the same thing:

- **Traffic (sessions):** how many times the page loaded (counts the same person 100 times)
- **Visits (pageviews per session):** engagement proxy, not reach
- **Unique visitors:** distinct people by browser fingerprint, reset on cookie clear

None of these tell you whether anyone returned. A viral tweet can produce 50,000 unique visitors with zero retention.

The actionable question: of the people who landed, what percentage signed up?

## New signups is a better acquisition metric

Signups are the first moment a person has given you something: an email, an account, intent.

Even signups can lie:

- Throwaway emails from deal-hunters
- Bot signups from competitors scanning your onboarding
- Your own test accounts

Filter by: completed email verification, or first meaningful action taken in-app.

The number that matters most at this stage: **signup-to-activation rate**.

Bottom-of-funnel: the only conversion  
that counts

## Paid conversion is the honest signal

Free users tell you about your product. Paying users tell you about your business.

A product with 10,000 free users and 0 paying customers has not demonstrated:

- That the problem is urgent enough to solve
- That your solution is differentiated from free alternatives
- That you can build a repeatable revenue stream

**Your funnel is not honest until it ends with a paid conversion count.**

Even if that count is zero. Especially if it is zero.

# The activation event: where paid begins

Activation is the moment a user first receives the core value your product promises.

For most B2C products, activation precedes payment by days or weeks. Users who do not activate do not pay.

Defining your activation event precisely:

■ "A user has activated when they have [specific action] within [timeframe] of signing up."

Vague: "they used the app." Precise: "they completed their first workout session within 48 hours of installing."

(Paul Graham, 2013; Vandervell, 2023)

"A product that retains users well is also better positioned for viral growth. Retention dynamics matter more than sharing dynamics in most products."

**Andy Vandervell, PostHog (2023)**

In-depth: The AARRR pirate funnel explained

## Why founders get this wrong

Three traps that produce a dishonest funnel:

1. **Measuring counts instead of rates.** "We have 2,000 users" hides that 1,950 never came back.
  2. **Measuring the wrong stage.** Optimizing acquisition while activation is below 10% is expensive and pointless.
  3. **Not measuring at all.** The most common trap in the first 90 days. This week fixes that.
- "You can't manage what you don't measure" is cliché because it is true.

# What honest B2C funnels look like

Healthy benchmarks (wide variance by category):

- Acquisition to signup: 2-10%
- Signup to activation: 25-50% within 7 days (for well-optimized products)
- Activation to paid: 2-8% for freemium; 15-40% for trial-to-paid
- Paid monthly churn: under 5% is good; under 2% is excellent

Most early-stage products have far worse numbers. That is normal. The goal this week is to **know your numbers**, not hit benchmarks.

## Take-aways

1. The AAARRR funnel has five stages; B2C founders must watch all five but fix leaks from the bottom up (activation before acquisition).
2. Top-of-funnel counts (pageviews, traffic) are not actionable until paired with a conversion rate.
3. Paid conversion is the only bottom-of-funnel number that is honest about the business.
4. Your activation event is the single most important moment in your funnel to instrument this week.
5. This week's goal: know your funnel numbers, even if they are ugly.

## What's next

- **Reading:** "Week 1: The B2C funnel and what real numbers look like" at </c/b2c-10k-mrr-26au/readings/wk01>
- **Lecture 2 (this week):** Reading metrics honestly: vanity vs actionable, MRR defined, cohort vs aggregate
- **Section this week:** Wire your funnel: instrument PostHog in your product, ship your first activation event
- **HW1 (due end of week):** Funnel + first instrumentation: post your dashboard screenshot + MRR number